

Does it make money, and does each round reach the next

Two questions, and this document answers both from the same arithmetic. The profit and loss carries the early losses into the tax line, and the cash statement carries the collection delay that the profit line does not see.

2028	\$58.4M	\$0	\$86.6M
FIRST PROFITABLE YEAR	EARNINGS IN 2031, AT A 55.5% MARGIN	TOTAL CASH CONSUMED BEFORE PROFIT	CASH AT THE END OF 2031

1 The profit and loss

Line	2026	2027	2028	2029	2030	2031	Six year
Revenue	\$0	\$3,879,925	\$17,751,792	\$44,178,275	\$73,714,961	\$105,276,946	\$244,801,899
Cost of revenue	\$0	(\$1,386,462)	(\$5,342,745)	(\$11,677,804)	(\$17,335,972)	(\$23,621,873)	(\$59,364,856)
Gross profit	\$0	\$2,493,463	\$12,409,048	\$32,500,471	\$56,378,989	\$81,655,073	\$185,437,043
Gross margin	0.0%	64.3%	69.9%	73.6%	76.5%	77.6%	75.7%
Operating expenses	(\$478,165)	(\$2,792,777)	(\$7,087,837)	(\$12,728,162)	(\$18,037,944)	(\$23,261,900)	(\$64,386,786)
Grants	\$10,000	\$295,000	\$215,000	\$195,000	\$60,000	\$0	\$775,000
EBITDA	(\$468,165)	(\$4,315)	\$5,536,211	\$19,967,309	\$38,401,044	\$58,393,173	\$121,825,257
Income tax	\$0	\$0	(\$1,104,658)	(\$4,532,481)	(\$8,772,240)	(\$13,370,430)	(\$27,779,809)
NET PROFIT AFTER TAX	(\$468,165)	(\$4,315)	\$4,431,553	\$15,434,828	\$29,628,804	\$45,022,743	\$94,045,448

Legend. EBITDA is earnings before interest, tax, depreciation and amortisation. No interest, because the facility is off, and no amortisation, because development is expensed. Negatives in parentheses.

The tax line, and the losses that shelter it

The early losses are small, so they do not shelter much. That is worth saying plainly rather than leaving a reader to work out why tax arrives so early.

Line	2026	2027	2028	2029	2030	2031
Earnings before tax	(\$468,165)	(\$4,315)	\$5,536,211	\$19,967,309	\$38,401,044	\$58,393,173
Loss pool brought forward	\$0	\$468,165	\$472,480	\$0	\$0	\$0
Taxable income after losses	\$0	\$0	\$5,063,732	\$19,967,309	\$38,401,044	\$58,393,173
Income tax	\$0	\$0	(\$1,104,658)	(\$4,532,481)	(\$8,772,240)	(\$13,370,430)
Net profit after tax	(\$468,165)	(\$4,315)	\$4,431,553	\$15,434,828	\$29,628,804	\$45,022,743

Legend. The whole loss pool is \$472,480 and it is used up inside 2028, which is why tax appears in the first profitable year rather than several years later. A reader who wants the cautious reading can switch the pool off in the workbook and the plan still funds itself.

2 Cash, and what sits between the profit and the bank balance

Line	2026	2027	2028	2029	2030	2031	Six year
Opening cash	\$0	\$581,835	\$1,099,173	\$7,320,496	\$19,497,264	\$45,484,559	
Equity in	\$1,050,000	\$1,000,000	\$3,500,000	\$0	\$0	\$0	\$5,550,000
Net profit after tax	(\$468,165)	(\$4,315)	\$4,431,553	\$15,434,828	\$29,628,804	\$45,022,743	\$94,045,448
Movement in receivables	\$0	(\$478,347)	(\$1,710,230)	(\$3,258,059)	(\$3,641,509)	(\$3,891,204)	(\$12,979,349)
CLOSING CASH, BEFORE ANY DISTRIBUTION	\$581,835	\$1,099,173	\$7,320,496	\$19,497,264	\$45,484,559	\$86,616,099	\$86,616,099

Legend. Revenue is invoiced and collected forty five days later, so the receivable grows every year the business grows and takes \$12,979,349 of cash across the six years. The venture debt facility is switched off, so it draws nothing and repays nothing.

Cash is positive at every year end, which is the test the workbook enforces.

It is also not the whole answer. A year that ends above zero can still contain a month with nothing in the account, and this plan contains eight of them. 05.8 runs the road month by month.

Runway, and the ten tests of the raise

Runway is closing cash divided by the monthly cost of the year that follows, because that is the cost the cash actually has to cover.

Line	2026	2027	2028	2029	2030	2031
Average monthly cost	\$95,633	\$348,270	\$1,035,882	\$2,033,831	\$2,947,826	\$3,906,981
Runway at the year end, months	1.7	1.1	3.6	6.6	11.6	22.2

Legend. Under twelve months at a year end is a warning, and 2027 is the year that matters: 1.1 months of cost in hand walking into the round. That is the single most important number on this page and it is the reason the seed is dated rather than opportunistic.

3 The ten funding tests

Test	Answer	Why it is asked
Pre-seed equity raised	\$2,050,000	The only equity the plan may assume before the seed
Lowest cash before the seed	(\$778,960)	The low point on the monthly road, not a year end figure
Cushion on the pre-seed	(38.0%)	The low point divided by the money raised for that period
Runway at the seed decision	1.1 months	How far into 2028 the plan reaches before the round lands
Seed raised in 2028	\$3,500,000	Raised on ten reference customers
First profitable year	2028	The first year earnings turn positive
Total cash consumed before profit	\$472,480	The cumulative funding gap both rounds have to cover
Recurring revenue at the end of the plan	\$108,935,933	What the business is worth a multiple of
Gross new customers required	970	Every signature the plan needs, including replacing churn

Legend. A negative cushion means the plan does not fund itself on the capital scheduled. It is stated as a negative rather than presented as a range, and 05.8 and 05.9 both carry what closes it.

Non-dilutive support, all of it in one place

Eight grant programmes and two tax credits. None of the grants is awarded, and all of them sit inside the base case rather than beside it.

Line	2026	2027	2028	2029	2030	2031	Six year
Grants, eight named programmes	\$10,000	\$295,000	\$215,000	\$195,000	\$60,000	\$0	\$775,000
Federal research credit	\$59,538	\$181,519	\$321,524	\$494,801	\$604,651	\$688,993	\$2,351,025
Alberta innovation employment grant	\$39,692	\$84,709	\$128,610	\$181,427	\$201,550	\$206,698	\$842,685
TOTAL NON-DILUTIVE SUPPORT	\$109,229	\$561,228	\$665,134	\$871,227	\$866,202	\$895,690	\$3,968,710

Legend. The grants appear on the profit and loss between operating expenses and earnings. The two credits are netted inside team pay, which is why they are invisible there. Together they cover **20.1%** of the cost base in 2027 and **3.9%** by 2031.

4 The eight programmes

Programme	2026	2027	2028	2029	2030	2031	Total
ElevateIP Alberta, intellectual property strategy	\$10,000	\$0	\$0	\$0	\$0	\$0	\$10,000
ElevateIP Alberta, intellectual property implementation	\$0	\$100,000	\$0	\$0	\$0	\$0	\$100,000
Alberta Innovates, Micro Voucher	\$0	\$10,000	\$0	\$0	\$0	\$0	\$10,000
Alberta Innovates, Voucher	\$0	\$100,000	\$0	\$0	\$0	\$0	\$100,000
National Research Council industrial research assistance	\$0	\$80,000	\$120,000	\$100,000	\$60,000	\$0	\$360,000
Alberta Innovates, Product Demonstration	\$0	\$0	\$75,000	\$75,000	\$0	\$0	\$150,000
TECHNATION Career Ready wage subsidy	\$0	\$5,000	\$10,000	\$10,000	\$0	\$0	\$25,000
Canada-Alberta Productivity Grant	\$0	\$0	\$10,000	\$10,000	\$0	\$0	\$20,000
TOTAL GRANT FUNDING	\$10,000	\$295,000	\$215,000	\$195,000	\$60,000	\$0	\$775,000

Legend. Mitacs Accelerate is left out on purpose, because no research work goes through a university. \$305,000 of the \$775,000 lands in 2026 and 2027.

Switch the grants off and the plan still reaches the round. The low point deepens to \$1,123,710 and the months overdrawn go from eight to ten.